

To: Ella Blanca Lopez, Commissioner, National Telecommunications Commission
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Subject: **Protecting Philippine submarine cable connectivity in the South China Sea**

Summary

China is increasingly controlling the waters where submarine cable systems that carry the Philippines' internet traffic run. Its military presence and permitting requirements in the disputed maritime areas of the South China Sea give it leverage over the cables Philippine connectivity depends on, creating an immediate chokepoint on the digital economy and on digital sovereignty. The Philippines should act on two tracks: first, establish a domestic regulatory framework and a central coordinating body for submarine cables; second, use the Bilateral Consultation Mechanism (BCM) with China to pursue technical cooperation on cable protection, compartmentalized from the sovereignty dispute.

Background: Why this matters now

- **The Philippines sits at critical chokepoints in the submarine cable network.** The [Luzon Strait and the South China Sea are identified maritime chokepoints](#) because of the density of cable systems crossing them. Submarine cables carry more than [99% of the world's internet traffic](#) and more than [\\$12 trillion in financial transactions](#). Because the Philippines, China, and other states share the same cable systems, damage to one country's infrastructure disrupts connectivity for all.
- **Beijing exercises network centrality through regulatory power over disputed waters.** China claims 90% of the South China Sea, including parts of the Philippine EEZ. Beijing requires cable repair and maintenance vessels to obtain permits before operating inside the zones it claims. The practical effect is that any operator seeking to lay, maintain, or repair a cable in these waters must first secure Chinese approval. Thus, by strategically awarding or withholding permits, [Beijing is growing its position of centrality in the region to create strategic infrastructural interdependence](#). This gives Beijing leverage at a critical chokepoint and raises the stakes for freedom-of-navigation advocates such as the United States.
- **The Philippines' digital economy and sovereignty are at risk.** The [digital economy comprised 9.8% of the GDP in 2025](#), growing 5.4% year-on-year. That growth rests entirely on cable resilience. As of 2025, [seven of the Philippines' ten active international cable systems connect to China](#). Of seven further systems now planned, three connect to China and three more are routed through the South China Sea.

Analysis and options

Option 1: Technical cooperation with China through the Bilateral Consultation Mechanism (BCM), compartmentalized from the maritime dispute

The Philippines and China remain at odds over the South China Sea because Beijing rejects the [2016 Arbitral Award](#) which invalidated China's maritime claims. Both states are nonetheless bound in a shared-risk scenario in the submarine cable network – an argument for placing cable protection on the agenda of the BCM. The mechanism has been [in place since 2017 to manage South China Sea-related issues](#) through working groups on oil and gas, fisheries, marine scientific research and environmental protection, and political security.

- **Pros:** It lowers diplomatic and military confrontations by setting sovereignty issues aside and confining talks to technical management. Unlike the sectors the BCM has handled before, the cables already exist and connect the two countries. [The Philippines play an important role in cable maintenance agreements](#) in the South China Sea and hosts depot infrastructure for rapid repair of cables critical to global connectivity in contested waters. [China has also invested in Philippine subsea cable development through the Digital Silk Road](#) initiative. Because both economies are embedded in the same infrastructure, the incentive to spread resilience, distribute responsibilities, and reduce exposure through cooperation is high.
- **Cons:** [BCM outcomes have been limited in practice](#). More seriously, [the Philippines has neither a regulatory framework nor a central body responsible for submarine cables](#). Cable operators engage in a fragmented domestic regulatory environment involving various agencies (e.g. the National Telecommunications Commission, the Maritime Industry Authority, and the National Security Council). Meanwhile [China has both regulatory frameworks and coordinating body](#). The State Council Decree No. 27 (*Regulations on the Administration of the Laying of Submarine Cables and Pipelines*) and the 1992 Implementation Measures of the State Oceanic Administration provides the Ministry of Natural Resources a settled legal basis to enact their mandate. Without an equivalent, Manila negotiates as the less credible partner.

Option 2: Regional harmonization through ASEAN

In January 2026, [ASEAN adopted the Enhanced ASEAN Guidelines for Strengthening Resilience and Repair of Submarine Cables](#), which seek to simplify and make transparent members' permitting processes and regulations. The success of the ASEAN Digital Economy Framework Agreement will rest on the resilience of cable networks connecting ASEAN members intra-regionally and globally.

- **Pros:** Regulatory harmonization produces real gains in regional digital connectivity and resilience. Maintaining ASEAN norms of centrality through the enhanced guidelines also molds China into cooperating with ASEAN states.
- **Cons:** ASEAN has been perceived to be institutionally weak in addressing South China Sea-related issues, evidenced by the [long-stalled Code of Conduct](#). The enhanced guidelines are non-binding best practices; members cannot compel one another to adopt them, still less to sustain them, given the wide asymmetry in digital capacity across the grouping.

Option 3: Cooperation with external partners

Since multiple states outside of ASEAN are also involved in the cable network system, the Philippines continues to work with external partners such as [Australia](#) and [the European Union](#) through capacity-building workshops and security cooperation covering submarine cables.

Several countries, notably the United States, also advocate for the freedom of navigation in the South China Sea.

- **Pros:** Access to technical expertise and capacity the Philippines currently lacks.
- **Cons:** China has consistently insisted on settling South China Sea matters bilaterally. Although the Philippines has the sovereign right to choose its partners, deepening engagements with the US and its allies amid today's US-China rivalry risks antagonizing Beijing and foreclosing confidence-building measures. Being seen as independent of anti-China alignments better preserves the Philippines' credibility.

Recommendation

The goal is to make cable network interdependence safer for the Philippines, maximizing the benefits of digital connectivity while managing its risks, through shared rules and coordination with China. To address Beijing's growing regulatory authority over subsea cables in the South China Sea, this memo recommends:

1. **Establishing a domestic regulatory framework and designating a central coordinating body for submarine cables.** This is the prerequisite for everything else. First, it fortifies the physical backbone of the country's digital economy. Second, it closes the asymmetry with China's existing decrees and makes the Philippines a credible counterpart rather than a permit-seeker.
2. **Securing a dedicated working group with Chinese counterparts on submarine cables under the BCM.** This offers the most immediate mitigation of China's growing control over the cable systems, and folds Beijing into a cooperative arrangement rather than leaving the chokepoint unmanaged. This working group should involve cable experts and operators of the existing cable maintenance agreements, and not just government officials.
3. **Sustaining Philippine commitments under the Enhanced ASEAN Guidelines.** Regional harmonization reinforces the domestic framework in Action 1 and spreads the cost of resilience across ASEAN.

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